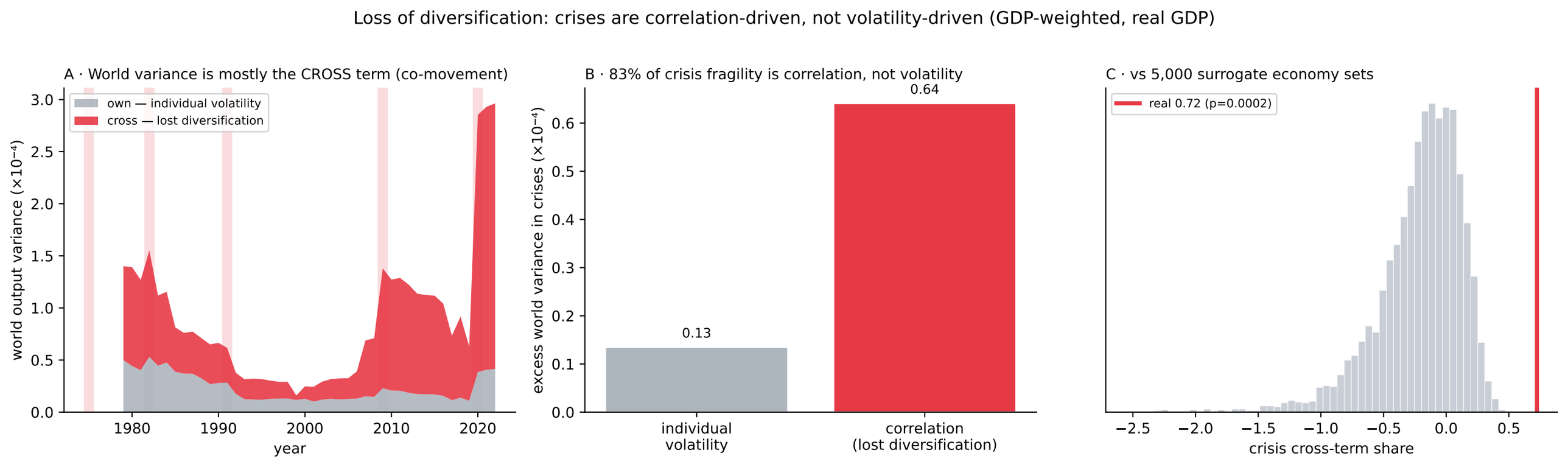
Loss of diversification: crises are correlation-driven, not volatility-driven (GDP-weighted, real GDP)
A · World variance is mostly the CROSS term (co-movement)
own — individual volatility
cross — lost diversification
world output variance (×10⁻⁴)
year
B · 83% of crisis fragility is correlation, not volatility
excess world variance in crises (×10⁻⁴)
0.13
0.64
individual volatility
correlation (lost diversification)
C · vs 5,000 surrogate economy sets
real 0.72 (p=0.0002)
crisis cross-term share